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TENTATIVE RULING

September 17, 2026

25SMCV06813 (HMM Construction Inc. v. Arya Group, Inc., et. al.)

RELEVANT BACKGROUND

On December 31, 2025, plaintiff HMM Construction Inc. (Plaintiff or HMM) filed its complaint against defendants Arya Group, Inc. (Arya) and Ardeshir Tavangarian (Tavangarian) (collectively, Defendants), alleging six causes of action: 1. Breach of Contract; 2. Breach Of Contract; 3. Open Book Account; 4. Accounts Stated; 5. Quantum Meruit; and 6. Conversion.

Bellagio Project

Plaintiff alleges that it entered into an agreement with Defendants in which Plaintiff agreed to furnish labor, equipment, and materials for the framing of a main house and a guest house located at 10675 Bellagio Road, Bel Air, CA 90077 (the Bellagio Project). (Compl. ¶ 14.) Defendants allegedly promised to pay Plaintiff a total of \$950,000 for the framing scope of work, subject to adjustments for changes in work. (Id.) Work began on the Bellagio Project on or about February 10, 2021. (Id.) Defendants allegedly promised to pay HMM an additional \$692,151.34 in Time and Material Costs for the Bellagio Project, bringing the total promised on the Original Contract to \$1,642,151.34. (Id. ¶ 15.) Plaintiff alleges that it performed the Bellagio Contract work and demanded payment, but

there remains due, owing, and unpaid from Defendants to Plaintiff the sum of \$262,920.26, plus interest, and attorney's fees and costs, according to law. (Id. ¶ 18.)

Promissory Note

Plaintiff alleges that it entered into a written agreement via a Promissory Note wherein Arya committed to pay Plaintiff \$50,000, with interest at the annual rate of 10%, in full upon the sale of the home/property associated with the Bellagio Project or 12 months after completion of the Framing Scope of work on the Project. (Id. ¶ 16.) The Framing Scope of Work was completed on or about March 8, 2023. (Id.)

Beinvenida Project

Further, Plaintiff alleges that it entered into an agreement (the Beinvenida Project), written or oral, with Defendants in which Plaintiff agreed to furnish labor, equipment, and materials for the framing of a first, second, and third story addition to a single family residence located at 1233 Beinvenida, Bel Air, CA 90077 (the "Beinvenida Project"). (Id. ¶ 21.) Defendants promised to pay Plaintiff a total of \$250,000 for the framing scope of work, subject to adjustments for changes in work. Work began on the Beinvenida Project on or about July 6, 2021, and the Scope of work was completed on or about November 22, 2022. (Id.) Plaintiff alleges that it performed the Beinvenida Contract work and demanded payment, but there remains due, owing, and unpaid from Defendants to HMM the sum of \$17,500, plus interest, and attorney's fees and costs, according to law. (Id. ¶ 23.)

INSTANT MOTION

On April 13, 2026, Defendants filed the instant motion to compel arbitration. Plaintiff filed an opposition, and Defendants filed a reply.

DISCUSSION

A "written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation

of any contract.” (Code Civ. Proc., § 1281.)

Code of

Civil Procedure section 1281.2 authorizes the court to order arbitration of a controversy if it finds the parties have agreed to arbitrate that dispute. Section 1281.2 provides, “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for the revocation of the agreement. [¶] (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact...” (Code Civ. Proc., § 1281.2.)

A party

petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-357.)

A.

Existence of an Arbitration Agreement

“Under both

federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate.” (B.D. v. Blizzard Entertainment, Inc. (2022) 76 Cal.App.5th 931, 942.) “The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165-66.) “If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement...If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with

the moving party.” (Ibid.)

“With

respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

““Under

California law, parties may validly incorporate by reference into their contract the terms of another document.’ [Citation.] The reference to the incorporated document must be clear and unequivocal and the terms of the incorporated document must be known or easily available to the contracting parties.” (Slaught

v. Bencomo Roofing Co.

(1994) 25 Cal.App.4th 744, 748, citing Baker v. Aubry (1989)

216 Cal.App.3d 1259, 1264; Spellman v. Securities, Annuities & Ins.

Services, Inc. (1992) 8 Cal.App.4th 452, 457; Chan v. Drexel

Burnham Lambert, Inc. (1986) 178 Cal.App.3d 632.)

The Court finds that Defendants have

satisfied their initial burden of establishing the existence of an agreement to arbitrate by providing a copy of the agreement. (Tavangarian Decl., Ex. A § 13, Ex. B § 14.) Defendants move to compel arbitration on the grounds that the parties entered into a subcontract for construction work which provides, in part, at page 6:

“SECTION

13. CLAIMS RESOLUTION. Any claims resolution procedure incorporated in the contract shall be deemed incorporated in this Agreement and shall apply to any disputes arising in the Arbitration. By executing this agreement, Subcontractor agrees that it is bound to participate in any binding arbitration proceeding that Subcontractor is requested to participate in, as between Contractor and Owner. This includes Subcontractor’s agreement to so participate as a party to such arbitration if requested or as witness. Specifically, this refers to the fact that, as part of the terms of the construction services agreement between Contractor and its Owner.

Should

arbitration or other legal action be necessary to enforce or interpret the

provisions of this Agreement, the prevailing party in such action shall be entitled to recover its attorney's fees and costs of suit, including the fees and cost of any expert witness."

(Tavangarian
Decl., Ex. A.)

The contract referenced in the
Subcontract Agreement and incorporated therein is the Prime Contract between
ARYA GROUP and 10675 Bellagio Road LLC, which provides, in part, at page 4:

"Section

14. Arbitration. Any controversy or claim arising out of or relating to this
Contract or its alleged breach, which cannot be resolved by mutual agreement,
shall be settled by arbitration in accordance with Construction Industry Rules
of the American Arbitration Association in effect on the date of the Contract,
and judgment upon the award rendered by the arbitrator(s) may be entered in any
court having jurisdiction."

(Id., Ex.
B.)

Plaintiff does not dispute that it
signed the Subcontract, that Section 13 of the Subcontract incorporates the
claims-resolution procedures of the Prime Contract, or that Section 14 of the
Prime Contract compels arbitration of "[a]ny controversy or claim arising out
of or relating to this Contract or its alleged breach" before the American
Arbitration Association ("AAA") under its Construction Industry Rules.

The Court is not persuaded by
Plaintiff's argument that the phrase "as between Contractor and Owner" in the
second sentence of Section 13 limits the entire clause. (Tavangarian Decl., Ex.
A § 13.) Plaintiff's interpretation ignores the first sentence of Section 13,
which independently incorporates "[a]ny claims resolution procedure" from the
Prime Contract and applies it to "any disputes." (Id.)

Nor is the Court persuaded by
Plaintiff's argument regarding Remedial Construction Services, LP v. AECOM,
Inc. (2021) 65 Cal.App.5th 658. Plaintiff's reliance on Remedial is
misplaced because, among other differences, there was a competing litigation

forum-selection clause in the subcontract that expressly preserved the parties' right to sue in court. (Id. at pp. 664-665.) The Subcontract here contains no such clause.

The Court agrees with Defendants that Slaughter, 25 Cal.App.4th 744 is on point. In that case, the court of appeal enforced a prime-contract arbitration clause that was incorporated into a subcontract by general "bound by all terms" language, similar to what Section 13 of this Subcontract provides. (Id. at p. 749; Tavangarian Decl., Ex. A § 13.)

The Court is not persuaded by Plaintiff's argument that it was not provided the Prime Contract, because incorporation requires only that the incorporated terms be "known or easily available," not physically delivered. (Slaughter, 25 Cal.App.4th at p. 748.) Again, Plaintiff does not dispute that it signed the Subcontract or that Section 13 of the Subcontract incorporates the claims-resolution procedures of the Prime Contract. Additionally, the subcontract agreement provides in section 3 that "Subcontractor and his subcontractors are bound by the prime contract documents incorporated therein insofar as they relate in any way, directly or indirectly, to the work covered by this Agreement," and section 18 provides that "Subcontractor shall carefully study and compare the Contract Documents with each other and with information in the Contract Documents..." (Tavangarian Decl., Ex. A § 3, 18; Slaughter, 25 Cal.App.4th at p. 749 ["Subcontractors never argued that they were unaware of the document being incorporated. The Subcontracts state specifically that the Subcontractors had fully examined the contract documents."].)

The Court is unpersuaded by Plaintiff's argument based upon the fact that it is not a party to the Prime Contract. (Slaughter, 25 Cal.App.4th at p. 749, citing Boys Club of San Fernando Valley, Inc. v. Fidelity & Deposit Co. (1992) 6 Cal.App.4th 1266, 1271-1272 [held that by the language of its contract incorporating the construction contract, the surety intended, and agreed, to be bound by the arbitration provision in the construction contract even though it was not a party to the contract.].)

The Court agrees with Defendants that Tavangarian may compel arbitration under alter-ego estoppel principles. Plaintiff cannot plead that Tavangarian and Arya are one and the same to reach his assets while treating him as a contractual stranger to escape arbitration. (See

Compl., ¶ 8-12; Rowe v. Exline (2007) 153 Cal.App.4th 1276, 1287-1288 ["by alleging they are unified with the signatory entity ... cannot also adopt the inconsistent position that the arbitration provision ... is unenforceable by or against those individuals."].)

But the Court agrees with Plaintiff that the promissory note and Bienvenida claims fall outside the scope of the arbitration agreement and should be stayed pending arbitration under Code of Civil Procedure section 1281.2. (See Compl. ¶ 20-24.)

The Court finds that an evidentiary hearing is not required or appropriate. (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413 [trial court may resolve disputed facts on a petition to compel by "a summary procedure"].) The interpretation of Section 13, and whether it, together with Section 3 and the incorporated Prime Contract, compels arbitration, are questions of law to be decided on the undisputed documents. (Remedial, 65 Cal.App.5th at p. 663.) Again, Plaintiff does not deny signing the Subcontract and offers no conflicting extrinsic evidence bearing on the meaning of Section 13, only its president's statement that he did not read the incorporated document, which is immaterial to interpretation. (Slaughter, 25 Cal.App.4th at p. 748.)

Lastly, the Court notes that Plaintiff does not raise any arguments with respect to the enforceability of the agreement.

Accordingly, Defendants' motion to compel arbitration is GRANTED, IN PART, with respect to the claims related to the Bellagio Project.

The motion is DENIED, IN PART, with respect to the promissory note and Bienvenida claims, which are stayed pending the arbitration.

Plaintiff's request for an evidentiary hearing is DENIED.